THE NATIONAL COMPANY LAW TRIBUNAL
BENCH V, NEW DELHI

CA (CAA)-122/230/232/ND/2021

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF:
SCHEME OF AMALGAMATION
OF

TIMES CITY LIMITED

...(Transferor Company / Applicant No 1)

WITH

TIMES INTERNET LIMITED

...(Transferee Company/ Applicant No 2)

Order Reserved on: 17.11.2021
Order pronounced on: 22.12.2021

CORAM:

SH. ABNI RANJAN KUMAR SINHA,HON'BLE MEMBER(J)

SH. AVINASH K. SRIVASTAVA, HON'BLE MEMBER (T)

PRESENT:
For the Applicant :Ms Devika Chopra, Adv.
For the Respondent : Ms. Hemlata Rawat, Adv. & Mr. Ayushmaan Vatsyayana for O.L.

MEMO Of PARTIES

In the Matter of Companies Act, 2013
Section 230 to 232

AND

In the Matter of:

TIMES CITY LIMITED
Company incorporated under the Companies
Act, 1956
Having Registered Office at Express Building,
9-10, Bahadurshah Zafar Marg, New Delhi
New Delhi-110002
CIN: U72900DL2012PLC241121
through its authorized signatory
Mr. Mahesh Chand Gupta
Email: mahesh.gupta@timesinternet.in

(Transferor Company/ Applicant No 1)

AND

TIMES INTERNET LIMITED
Company incorporated under the Companies
Act, 1956
Having Registered Office at Express Building
9-10, Bahadurshah Zafar Marg, New Delhi
New Delhi-110002
CIN: U74999DL1999PLC135531
through its authorized signatory
Mr. Mahesh Chand Gupta
Email: mahesh.gupta@timesinternet.in

(Transferee Company/ Applicant No)

ORDER

PER SH. AVINASH K. SRIVASTAVA,MEMBER (TECHNICAL)

1. This application has been jointly filed by the Applicant Companies under Sections 230 and 232 of the Companies Act, 2013read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016,duly supported by separate affidavits of the Applicant Companies, for seeking appropriate directions for dispensing with the holding/convening of the meetings of the respective shareholders and

creditors of all the Applicant companies for approval of the proposed Scheme of Amalgamation as contemplated between the Applicant companies. The said Scheme of Amalgamation (hereinafter referred to as the "Scheme") has been placed on record along with the joint application.

2. It is represented that the registered office of all the applicant companies is situated in New Delhi and therefore the subject matter of this joint application falls within the Jurisdiction of this Bench.

3. Transferor Company was incorporated as a Public limited company under the Companies Act, 1956 on 27th august, 2012 in the name and style of **"TIMES CITY LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the **CIN. U72900DL2012PLC241121**.Its authorized share capital is Rs. 160,10,00,000 divided into 16,01,00,000 equity shares of Rs. 10/- each, while its issued, subscribed, and paid-up capital is Rs. 138,95,00,000/- divided into 13,89,50,000 equity shares of Rs. 10/- each.

4. Transferee Company was incorporated as a Public Limited Company under the Companies Act, 1956 on 4th May, 1999 in the name and style of **"TIMES INTERNET LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the **CIN. U74999DL1999PLC135531**. Its authorized share capital is Rs. 30,68,54,60,000 divided into 3,06,85,46,000 equity shares of Rs. 10/- each, while its issued, subscribed, and paid-up capital is Rs. 29,84,55,44,090 divided into 2,98,45,54,409 equity shares of Rs. 10/- each.

5. Management of both the Transferor Company and Transferee Company believe that the amalgamation proposed in the Scheme of Amalgamation would be in the best interests of all the stakeholders of Transferor Company and Transferee Company, and would result in inter-alia achievement of the following:

- *The Transferor Company is a wholly owned subsidiary of the Transferee Company. Both the Transferor and Transferee*

Companies are under same management and it would be advantageous to combine the activities and operations in a single Company. The amalgamation would provide economies in costs.

- *The proposed Scheme of Amalgamation will result in elimination of duplicate work, reduction in overheads and costs and operational rationalization* till Reduction in compliances and statutory filings with the government departments.
- *The proposed Scheme of Amalgamation will result in enhanced leveraging capability of the combined entity to undertake future expansion strategies and to tap bigger opportunities in the industry.*
- *In view of the aforesaid the Board of Directors (as defined below) of the Transferor Company as well as the Board of Directors of the Transferee Company have considered the proposed amalgamation of the Transferor Company into and with the Transferee Company. The amalgamation proposed in the scheme would thus have beneficial results for the Companies, their shareholders, creditors and all stakeholders, and will not be prejudicial to the interests of the shareholders, creditors and other stakeholders.*

6. It is submitted that Applicant Companies 1 and 2 do not have any Secured Creditor and Certificate by Statutory Auditors verifying the list of the Secured as well as unsecured Creditor is placed on record.**(Annexure A-8 and A-17).**

7. It is submitted that the Transferor Company has 7 Equity Shareholders and 4 unsecured creditors and No secured creditors. The certificate of chartered accountant in respect of creditors has also been placed on record **(Annexure A-8(colly))**.In respect of shareholders and unsecured creditors, prayer has been made for issuance of directions for dispensing the convening of the meeting of the shareholders.

8. The Transferee Company has 16 Equity Shareholders and 1043 unsecured creditors. Transferee Company do not have any secured creditor. The certificates of chartered accountant in respect of creditors has also been placed on record. **(Annexure A-17(colly)).** In respect of shareholders and unsecured Creditors prayer has been made for issuance of directions for dispensing their respective meetings.

9. The equity shareholders of the Applicant Companies have given their consent affidavit and is placed on record, annexed as **(Annexure A-7 and A-16).**

10. No objection Certificate of 1 Unsecured Creditor representing 98.2% value of transferor Company to dispense with the holding of meeting is placed on record.**(Annexure A-9).**

11. No objection Certificate of 10 Unsecured Creditors representing 90.13% value of Transferee Company to dispense with the holding of meeting is placed on record. **(Annexure A-17).**

12. We have perused the joint applications and the connected documents/ papers filed herewith including the Scheme of Amalgamation contemplated between the Applicant companies.

13. It is further submitted that the board of directors of all the applicant companies 1 and 2 vide separate Board meetings, held on 17.08.2021 and 24.08.2021 respectively have unanimously approved the proposed Scheme of Amalgamation and copies of such board resolutions passed there have been placed on record by the companies. **(Annexure A-5 and A-7).**

14. All the applicants have filed their respective Memoranda and Articles of Associations. The applicants have also filed their latest audited financial statements for the year ending 31.03.2020 and is placed on record **(Annexure A-12).**

15. All the companies have submitted that no investigation proceedings are pending under the provisions of the Companies Act against any of the applicant company. In this regard, a separate affidavit in accordance to Sec 230(2)(a) has been placed on record.**(Annexure A-19).**

16. Further, it has been stated in the application that the Scheme is not prejudicial to the interests of the shareholders, and creditors of the applicant companies and does not involve any reduction of Share Capital. The Scheme will be beneficial to all the applicant companies and their respective shareholders, and creditors.

17. The certificates of statutory auditors of all the applicant companies confirming that the accounting treatment in the scheme is in compliance of and in conformity with Section 133 of the Companies Act, 2013 have been placed on record.**(Annexure A-13).**

18. Taking into consideration the application filed jointly by the Applicant Companies the following directions are issued:

A. In relation to Transferor Company

i. With respect to Equity Shareholders:

Meeting of the 7equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed merger.

ii. With respect to secured creditors:

As there is no secured creditor in the Transferor Company, the requirement of convening meeting of unsecured creditors does not arise.

iii. With respect to unsecured creditors:

Meeting of the 4 unsecured creditor is directed to be dispensed with as 98.2% consent (1 in number) has been obtained by way of affidavit for the proposed merger. Therefore, pursuant to the power under section 230(9) of the Companies Act, 2013, it is directed to be dispensed with. The Consent Affidavit of the all the unsecured creditor has already been placed on record.**(Annexure A-9(colly)).**

B. In relation to Transferee Company

i. With respect to Equity Shareholders:

Meeting of the 16 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed merger.

ii. **With respect to secured creditors:**

As there is no secured creditor in the Transferee Company, the requirement of convening meeting of secured creditors does not arise.

iii. **With respect to unsecured creditors:**

Meeting of 1043 unsecured Creditors in the Transferee Company is directed to be dispensed with as 90.13% Consent (10 in number) has been obtained by way of affidavit for the proposed merger. Therefore, pursuant to the power under Section 230(9) of the Companies Act, 2013, it is directed to be dispensed with. The Consent Affidavit and relevant documents for the same has already been placed on record. **(Page 623, 624-662 VOL IV) (Annexure A-17)**.

19. The application stands allowed in the aforesaid terms.

Let the copy of the order be served to the parties.

Sd/-

22/12/2021

AVINASH K. SRIVASTAVA
MEMBER (TECHNICAL)

Sd/-

ABNI RANJAN KUMAR SINHA
MEMBER (JUDICIAL)